

Four Percent

May CPI 4.2% — first print above 4% since May 2023.
S&P 500 –1.61% as Washington vows further strikes on Iran. Dividend Strategy –0.38% against the tape.

THE SESSION

The number the market spent all week waiting for arrived exactly on script — and the market sold off anyway. May CPI printed 4.2% year-over-year, in line with consensus and the first headline reading above 4% since May 2023, while core inflation rose just 0.2% month-over-month, cooler than forecast. That split — a hot, energy-driven headline against a core that has not yet absorbed the shock — was precisely the constructive scenario the morning's framing had identified. For about an hour, it held.

Then Washington took the microphone. The President said the United States would strike Iran again and asserted that oil was moving through Hormuz under American escort, extending the exchange that began with Tuesday's strikes on Iranian air-defense sites. Crude rallied back toward \$90, and the relief trade in equities unwound into the close. The S&P 500 finished –1.61% at 7,267.65, the Nasdaq –1.99%, and the Dow –1.87%. The VIX expanded 11.12% to 22.08. Futures markets now fully price a quarter-point Fed hike by December — a remarkable reversal for a year that began with cuts on the table.

Beneath the index-level decline, the tape told a different story: roughly 63% of U.S. issues advanced on the day. The selling concentrated in semiconductors and high-multiple technology — the same names that have carried the indexes all year — while staples, utilities, and energy absorbed the rotation. That is the divergence that matters for this committee. The Dividend Strategy gave up 0.38% on a day the S&P 500 lost more than four times that; the Growth Portfolio, fully exposed to the chip complex, still finished inside its benchmark. Gold's 4.07% decline to \$4,111.90 — counterintuitive against the geopolitical headlines — suggests positioning unwinds, not panic, are driving the tape.

IOWN Tactical: The S&P 500 sits roughly 4–5% below its 2026 high — well short of the –20% first BUY tranche, with no TRIM signal active. Days like today are why the framework exists: we hold the levels, not the headlines.

IOWN HOLDINGS: NOTABLE MOVERS

WINNERS

BKH +6.14%

DIVIDEND STRATEGY

Recovered essentially all of Tuesday's decline as the utility complex caught a bid; the NorthWestern merger track and data-center load growth thesis remain intact underneath the volatility.

DVN +5.79%

DIVIDEND STRATEGY

Led the energy sleeve higher as crude rallied on renewed Hormuz disruption rhetoric; the sector was Wednesday's clearest beneficiary of the geopolitical repricing.

HRMY +4.34%

GROWTH PORTFOLIO

Extended Tuesday's advance to a second consecutive session, continuing to trade on its own fundamentals while the broader growth tape struggled.

OKE +3.17%

GROWTH PORTFOLIO

Midstream participated fully in the energy rally; throughput-driven cash flows benefit from elevated volumes regardless of where crude ultimately settles.

HOOD +3.09%

GROWTH PORTFOLIO

May operating data showed platform assets up 9% from April to \$377B with equity volumes up 27%; a director purchased \$20.2M in shares and the firm cleared a regulatory path into IPO underwriting.

CL +2.45%

DIVIDEND STRATEGY

Staples led the defensive rotation as capital sought stable cash flows against the inflation print; CHD (+1.20%) moved in tandem.

DECLINERS

QCOM –6.83%

DIVIDEND STRATEGY

Led a mobile-chip selloff alongside Arm (–5%) with no company-specific catalyst; risk-off pressure on high-valuation semis after the year's outsized run. Third heavy decline in four sessions.

CAT –6.40%

DIVIDEND STRATEGY

Second straight sharp decline as analysts flagged tariff costs and Resource Industries margin compression; the broader industrial sector fell roughly 2.5% on rate-hike repricing.

HUT –6.25%

GROWTH PORTFOLIO

Crypto miners remained under pressure with Bitcoin near \$62K, down from above \$80K in May; MARA (–5.18%) traded the same complex.

MRVL –5.35%

GROWTH PORTFOLIO

Gave back ground for a second session as the data-center chip trade continued to unwind; the stock has now round-tripped Monday's recovery entirely.

VST –5.26%

GROWTH PORTFOLIO

Independent power producers sold off with high-multiple AI-infrastructure names despite the broader utility bid — a reminder VST trades as a growth story, not a utility.

AMD −4.73%

GROWTH PORTFOLIO

Fell with the semiconductor complex as rate-hike pricing pressured long-duration assets; TSM (−4.59%), NXPI (−3.98%), and NVDA (−3.72%) carried the same weight.

HOLDINGS NEWS

Robinhood (HOOD) published May operating metrics and cleared a path into IPO underwriting. Platform assets reached \$377 billion, up 9% from April and 48% year-over-year, with 27.7 million funded customers and \$5.6 billion in net deposits. Equity trading volume rose 27% from April. Separately, a regulatory filing showed director Meyer Malka purchased 250,000 shares at \$80.74 — a \$20.2 million commitment — and the firm received approval to act as an IPO underwriter ahead of a heavy listing calendar. Multiple firms including Goldman Sachs and Cantor Fitzgerald carry price targets in the \$100–110 range.

Caterpillar (CAT) held its virtual annual shareholder meeting Wednesday morning as the stock declined a second consecutive session on analyst concerns over tariff costs and margin pressure in Resource Industries. The operating record remains firm: Q1 sales rose 22% year-over-year to \$17.4 billion with a 17.7% operating margin and \$5.7 billion returned to shareholders in the quarter. The drawdown is a valuation and macro story, not an earnings one.

PORTFOLIO PERFORMANCE

DIVIDEND STRATEGY

✓ BEAT ONE

−0.38%

vs. DVY +0.31% | SPY −1.57%

GROWTH PORTFOLIO

✓ BEAT

−1.95%

vs. IUSG −2.19%

YEAR-TO-DATE

Dividend +13.30% vs DVY +10.57% / SPY +6.39%

Growth +13.53% vs IUSG +7.20%